

16 Investment management

9 primary questions | Oldest to newest

2026 objectives: 4.4.1, 4.6.3-4.6.5, 5.2.2

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2005 Q7	16 marks
CA1-P1 September 2005 Q2	6 marks
CA1-P1 April 2006 Q3	6 marks
CA1-P1 September 2006 Q2	8 marks
CA1-P1 April 2008 Q3	17 marks
CA1-P1 April 2010 Q5	22 marks
CA1-P1 April 2012 Q2	11 marks
CA1-P1 April 2016 Q7	30 marks
CP1-P1 September 2019 Q3	11 marks

CA1-P1 | April 2005 | Q7

Mixed / scope note | 16 marks total | Original PDF p3

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material. Related: Ch 9.

- 7**
- (i) List the uses of investment indices. [4]
 - (ii) Describe the particular uses of government bond indices. [4]
- An investment manager is considering setting up a new index-tracker fund to track UK equities.
- (iii) Compare the main features of the FTSE 100 Share Index and the FTSE All-Share Index. [4]
 - (iv) Explain the factors to consider when deciding which of these indices to track. [4]
- [Total 16]

CA1-P1 | September 2005 | Q2

Current topic | 6 marks total | Original PDF p2

Related: Ch 8.

- 2** Discuss the features of a corporate bond portfolio that would be taken into account in setting its investment performance benchmark. [6]

CA1-P1 | April 2006 | Q3

Current topic | 6 marks total | Original PDF p2

Related: Ch 9.

- 3** A country with a developing economy wishes to encourage investment in its domestic equity market. It intends to introduce domestic equity market indices that can be used by index tracking funds.

Describe the features to be taken into account when designing indices for this purpose. [6]

CA1-P1 | September 2006 | Q2

Mixed / scope note | 8 marks total | Original PDF p2

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material. Related: Ch 9.

- 2**
- (i) List the possible uses of investment market indices. [4]
 - (ii) State with reasons the uses in part (i) for which the following US equity indices would be appropriate:
 - (a) the Dow Jones Index
 - (b) the Standard & Poor's Composite Index
- [Total 8]

CA1-P1 | April 2008 | Q3

Current topic | 17 marks total | Original PDF p3

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** A large developed economy has a domestic equity market which is commonly divided into 20 sectors. Each sector contains at least 20 stocks.

A university in that country has a substantial portfolio of investments. Various committees made up of members of the academic staff determine the investment strategy.

The committee responsible for investment in domestic equities holds an annual strategy meeting. Prior to the meeting the return on each stock in the whole market over the previous year is obtained. At each meeting the committee decide to invest in 16 stocks. These stocks are selected from the whole market as follows:

The fourth, fifth, sixth and seventh best performing stocks in the fourth, fifth, sixth and seventh worst performing sectors are identified. The whole fund is then divided equally between these stocks. No changes are made to these investments until the next strategy meeting. No specialist investment managers are used and the committee wishes to make as few active investment decisions as possible.

- (i) Outline why the committee might use a passive investment approach. [3]
- (ii) Explain the rationale behind the approach to stock selection described above. [4]
- (iii) Describe situations or events where decisions may need to be taken by the committee between strategy meetings. [6]
- (iv) Discuss the types of indices the committee should use to assess the performance of this domestic equity fund. [4]

[Total 17]

CA1-P1 | April 2010 | Q5

Current topic | 22 marks total | Original PDF p3

Related: Ch 9, Ch 10.

- 5** (i) State how the following asset classes could be categorised:
- (a) domestic equities
 - (b) domestic bonds
- [4]
- (ii) Explain why a fund that invests in domestic equities may use analysts who specialise by industrial sectors. [5]
- (iii) Outline the drawbacks of the approach in (ii). [2]
- (iv) Explain why the proportion of an equity fund held in cash may have increased significantly over a twelve month period. [5]
- (v) Outline why investment funds may use derivatives. [2]
- (vi) Describe the difference between an active and a passive investment approach for equity investment funds. [4]
- [Total 22]

CA1-P1 | April 2012 | Q2

Current topic | 11 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 2 (i) Discuss why a pension scheme would carry out a review of its investment strategy. [4]

The investment strategy for the equity portfolio of a large pension scheme for the last three years has been to invest 50% in a passively managed equity fund and 50% in an actively managed equity fund. The funds are run by different investment management companies and over the last three years have achieved the following annual returns, which have been calculated consistently.

<i>Year</i>	<i>1</i>	<i>2</i>	<i>3</i>
Active benchmark	8%	20%	7%
Active fund return	7%	15%	7%
Passive benchmark	5%	10%	5%
Passive fund return	5%	9%	6%

- (ii) (a) Comment on the performance of the investment funds; and,
 (b) Suggest the main reasons why actual returns may have differed from the respective benchmark returns. [4]

The pension scheme carries out due diligence of the investment managers.

- (iii) Outline the features of an investment management company's practices, which the pension scheme should consider as part of this assessment. [3]
 [Total 11]

CA1-P1 | April 2016 | Q7

Current topic | 30 marks total | Original PDF p4

Related: Ch 15, Ch 3.

- 7** A large insurance company has written a significant number of whole life assurance and annuity products. The insurance company has more assets than are required to meet its liabilities. It has recently stopped writing new business and has decided to carry out an investment strategy review.

It currently uses two portfolios in its investment strategy:

Portfolio M: The matching portfolio, consisting of passively managed high quality domestic bonds

Portfolio G: The growth portfolio, consisting of actively managed domestic and overseas equity

- (i) Outline how the insurance company may develop an appropriate investment strategy for the portfolio M. [3]
- (ii) Outline the different investment risks that may arise with the company's overall investment strategy. [3]
- (iii) Discuss how the insurance company may use risk budgeting techniques to control the overall risk in its investment portfolios. [5]
- (iv) Discuss how the insurance company could determine benchmarks and monitor the performance of its investment strategy for both portfolios. [7]
- (v) Explain, using examples, why the performance of the growth portfolio may not be in line with a specified benchmark. [5]

The regulator is proposing changes to the way assets are valued for solvency purposes. The proposals include introducing adjustments to the market value of different asset classes and placing restrictions on the maximum holding of different assets for solvency purposes.

- (vi) Discuss how the proposed changes to regulations could impact on the investment strategy of the insurance company. [7]

[Total 30]

CP1-P1 | September 2019 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 14.

- 3** (i) State the principles of investment for a provider of benefits on future uncertain events. [3]

A charity has both short-term and long-term assets. The charity's fund managers are reviewing their investment strategy.

- (ii) Outline why the charity may need to review the appropriateness of its investment strategy. [4]

The charity's long-term assets are invested in an ethical equity fund and an ethical corporate bond fund. The performance of these two funds has been measured and the returns appear to be lower than those of similar funds.

- (iii) Suggest why the performance of the ethical funds might be out of line with similar funds. [4]

[Total 11]